

INTRODUCTION

FAMILIES THAT WON'T FAIL AND MONEY THAT WON'T DIE

Much of what most people think about “Old Money” families is wrong, including much of what many Old Money families themselves think. You probably have an idea about what kinds of people they are. And you’re probably not too far off. But there are too few of them, and they are too varied, to provide a meaningful stereotype. Some are smart. Some are dumb. Some show off their money; others don’t. Many—perhaps most—are so discreet that we don’t know who they are and what they do.

For those and other reasons that will become obvious, we have chosen prescriptivism over descriptivism. That is, we will prescribe what we might call the “ideal” Old Money. We tell you what we think Old Money ought to do, what it ought to think, and how it ought to manage its wealth.

For example, you probably imagine that serious Old Money families are very conservative with their wealth, favoring “safe” U.S. Treasury bonds over riskier stocks and bonds. And if you have a lot of money, that is exactly what the typical investment advisor will tell you to do with it. You need to play it safe; stick to bonds.

But if you depend on wealth “professionals” to help you manage and protect your money, you are already making a big mistake. Most financial professionals are good at mixing drinks; some are excellent raconteurs. You shouldn’t let them near your money. As for U.S. Treasury debt, it is probably one of the riskiest investments you can make.

In this book, we talk about Old Money not necessarily as it is but as it should be. And it should be very different from what you probably imagine.

It is commonly believed that seriously rich people should withhold money from their children in order to toughen them up, so that they will “find their